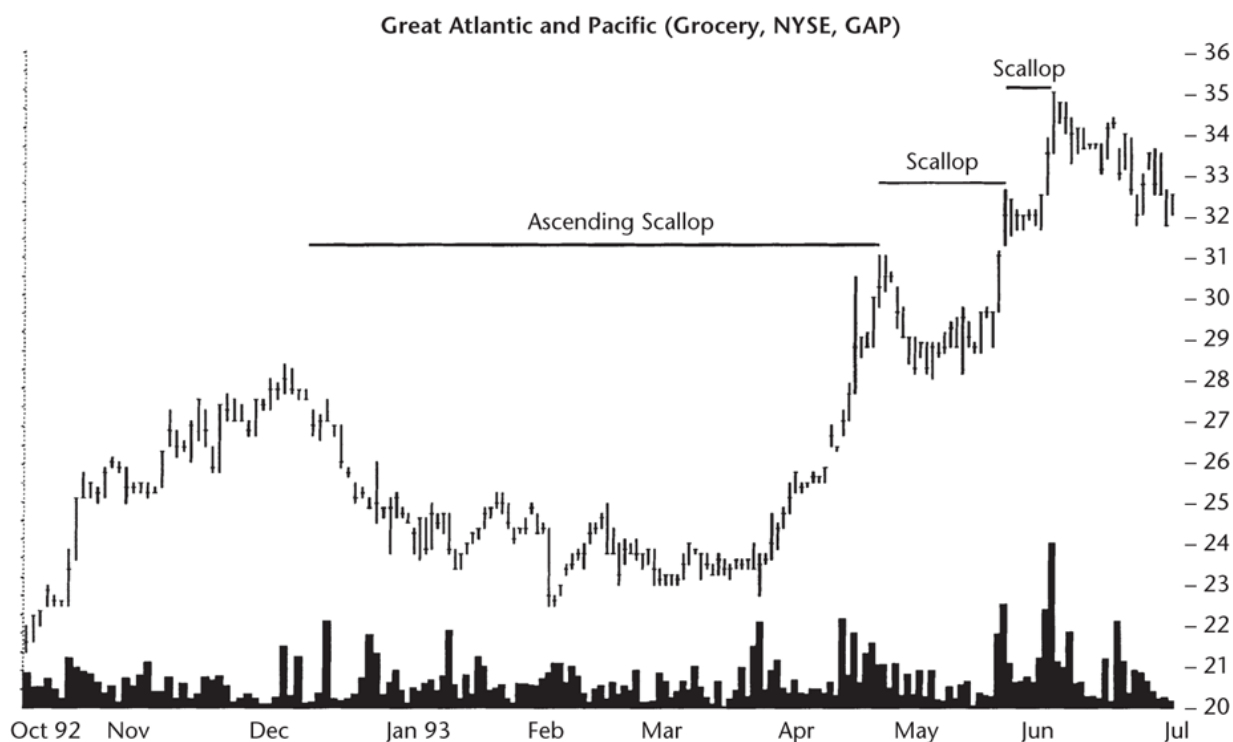


high, where the scallop ends on the right (in mid-April), is well above the minor high on the left (during early December). This is typical for ascending scallops—the right side should be above the left. However, it is fine if the two peaks are close to each other in price. When that happens, it often signals an end to the series of scallops and the rising price trend.

The J-shape of the scallop appears best on the smallest scallop in the figure. I highlight this one with some consternation. When hunting for scallops, one should look at the price lows, not the highs for the curving trend. If you connect the minor lows of the first two scallops, you see that price has a bowl shape. The bowl shape is not clear in the smallest formation unless you trace along the highs.



**Figure 57.1** Three ascending scallops. Scallops resemble the letter J.

The smallest scallop also has the best volume pattern—a U-shaped trend. This is common for ascending scallops but should not be viewed as a requirement. The first scallop does not have an easily recognizable bowl-shaped volume trend, but it is there. The volume spikes are higher near the scallop's ends than in the center.